



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Six Months Ended 30 September 2020

ORIENT FINANCE PLC
INCOME STATEMENT

For the	03 Months Ended 30th September		06 Months Ended 30th September	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	618,049,672	804,810,965	1,183,395,411	1,632,130,553
Interest income	565,200,220	750,025,092	1,099,620,222	1,527,670,629
Interest expenses	(341,137,466)	(457,150,641)	(713,043,140)	(950,393,598)
Net interest income	224,062,754	292,874,451	386,577,082	577,277,031
Fee and commission income	33,623,717	37,167,789	58,791,225	74,626,287
Other operating income	19,225,735	17,618,084	24,983,965	29,833,637
Total operating income	276,912,206	347,660,324	470,352,271	681,736,955
Impairment charges for loans and receivables to customers	(20,521,900)	(231,682,182)	(64,763,111)	(429,733,145)
Net operating income	256,390,305	115,978,142	405,589,160	252,003,810
Operating expenses				
Personnel expenses	(101,273,497)	(112,874,845)	(206,788,498)	(225,072,683)
Depreciation and amortization	(1,641,118)	(8,420,321)	(17,261,818)	(16,621,393)
Other operating expenses	(119,985,769)	(122,123,182)	(197,436,825)	(237,877,295)
Operating profit/(loss) before Value Added Tax and	33,489,921	(127,440,206)	(15,897,980)	(227,567,561)
Value Added Tax and NBT on financial services	(3,054,291)	(2,859,260)	(4,879,004)	(5,968,388)
Profit/(loss) before income tax	30,435,630	(130,299,466)	(20,776,983)	(233,535,949)
Income tax expense	-	-	-	-
Profit/(loss) for the period	30,435,630	(130,299,466)	(20,776,983)	(233,535,949)
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	0	(3,504,927)	0	6,175,605
Total comprehensive income/(expenses) for the period net of tax	30,435,630	(133,804,393)	(20,776,983)	(227,360,344)
Weighted Average Earnings Per Share (Rs.)	0.15	(0.87)	(0.11)	(1.56)
Diluted earnings per share (Rs.)	0.15	(0.87)	(0.11)	(1.56)

Figures in brackets indicate deductions.

Colombo
12th November 2020

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At

	30th September 2020	31st March 2020
	Rs.	Rs.
ASSETS	Unaudited	Audited
Cash and cash equivalents	216,877,717	70,618,412
Financial assets - fair value through other comprehensive income	551,095,680	934,478,086
Loans and receivables to customers	12,164,206,859	12,339,298,071
Investments with banks and other financial institutions	30,639,629	82,492,401
Other assets	322,306,117	279,432,153
Real estate stock	17,579,209	16,772,709
Deferred tax asset	370,887,353	370,887,353
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	805,470	805,470
Property, plant and equipment	81,091,608	75,180,798
Right of use assets	128,894,557	128,894,557
Investment properties	538,250,002	538,250,002
Total assets	15,223,059,947	15,637,535,758
LIABILITIES		
Due to banks - bank overdrafts	64,613,113	265,514,298
Deposits from customers	8,772,275,424	9,020,632,231
Interest bearing borrowings	2,927,272,052	3,038,038,298
Right-of-use of Liability	117,941,195	117,941,195
Other liabilities	608,588,093	442,612,869
Retirement benefit obligations	42,937,444	42,587,258
Total liability	12,533,627,321	12,927,326,149
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	311,080,742	311,080,742
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	(194,647,928)	(173,870,945)
Total equity	2,689,432,626	2,710,209,609
Total equity and liabilities	15,223,059,947	15,637,535,758
Net assets per share	12.74	12.84

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

.....
Sanjeeva Jayasinghe
Head of Finance

.....
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

.....
Mr. Anil Tittawella
Chairman

.....
Mr. Prakash Schaffter
Director

Colombo
12th November 2020

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 30th September

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773	1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the six months	-	-	-	-	(233,535,949)	(233,535,949)
Other comprehensive income (expense) net of taxes	-	-	-	6,175,605	-	6,175,605
<u>Transactions with Equityholders</u>						
Conversion of Preference Share Capital to Ordinary Shares	470,038,111	-	-	-	0	470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375	-	-	-	0	76,508,375
Write off of share premium generated in share conversion	-	-	-	-	(70,141,811)	(70,141,811)
Balance as at 30th Sep 2019	<u>1,925,236,265</u>	<u>306,478,542</u>	<u>141,120,773</u>	<u>7,244,636</u>	<u>35,463,924</u>	<u>2,415,544,140</u>
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	0	(173,870,945)	2,710,209,609
Profit/(Loss) for the six months	-	-	-	-	(20,776,983)	(20,776,983)
Balance as at 30th Septembe 2020	<u>2,431,879,039</u>	<u>311,080,742</u>	<u>141,120,773</u>	<u>-</u>	<u>(194,647,928)</u>	<u>2,689,432,626</u>

Figures in brackets indicate deductions.

Colombo
12th November 2020

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 30th September

	2020	2019
	Rs.	Rs.
	Unaudited	Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	(20,776,983)	(233,535,949)
Adjustment for:		
Depreciation/amortization	17,261,818	16,621,393
Loss on disposal of property, plant and equipment	(110,351)	(98,192)
Impairment charges for loans and receivables to customers	64,763,111	429,733,145
Finance expenses	713,043,140	950,393,598
Investment income	(27,274,651)	(59,893,142)
Provision for gratuity	7,866,049	8,400,002
Operating profit/(Loss) before working capital changes	754,772,132	1,111,620,855
Change in loans and receivables to customers	110,328,104	480,576,736
Change in other assets	(42,873,965)	11,747,209
Change in deposits from customers	(235,456,807)	(809,232,346)
Change in other liabilities	165,975,221	70,255,425
	752,744,686	864,967,879
Rent Paid	(31,595,953)	
Interest paid	(481,864,485)	(950,305,424)
Gratuity paid	(7,929,569)	(8,726,885)
Net cash from/(used in) operating activities	231,354,679	(94,064,430)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(5,910,810)	(16,668,823)
Proceeds from sale of property, plant and equipment	132,382	
Net change in available for sale financial assets	383,382,406	(1,092,546)
Net change in investments with bank and other financial institutions	51,852,772	101,638,520
Investment income received	28,042,651	59,893,142
Net cash generated from/(used in) investing activities	457,499,400	143,770,293
Cash flows from financing activities		
Interest bearing borrowings obtained	2,340,522,894	3,920,644,366
Repayment of interest bearing borrowings	(2,493,690,602)	(3,765,671,404)
Interest Paid on Borrowings	(188,525,881)	(45,126,027)
Repayment of Preference Share Capital	-	(153,300)
Net cash generated from/(used in) financing activities	(341,693,589)	109,693,635
Net change in cash and cash equivalents	347,160,490	159,399,498
Cash and cash equivalents at the beginning of the Period	(194,895,886)	(428,882,252)
Cash and cash equivalents at the end of the Period (Note A)	152,264,605	(269,482,754)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	92,155,060	103,684,205
Cash at bank	124,722,657	11,197,190
Bank overdrafts - secured	(64,613,113)	(384,364,149)
	152,264,605	(269,482,754)

Figures in brackets indicate deductions.

Colombo
12th November 2020

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th September	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Interest income	809,628,635	1,164,514,497	71,281,938	176,148,971	14,671,884	31,183,872	204,037,766	155,823,289	1,099,620,223	1,527,670,629
Fee and commission income	51,831,475	66,574,867	1,987,953	4,615,402	1,567,250	3,436,018	3,404,546		58,791,224	74,626,287
Other income	18,250,206	25,648,962	2,328,861	1,910,569	416,516.34	461,992.40	3,988,382	1,812,114	24,983,965	29,833,637
Total segmental income	879,710,316	1,256,738,326	75,598,751	182,674,942	16,655,650	35,081,882	211,430,694	157,635,402	1,183,395,412	1,632,130,552
Less: Interest expense	(520,861,447)	(719,296,331)	(66,465,758)	(105,510,528)	(11,887,389)	(25,513,375)	(113,828,545)	(100,073,365)	(713,043,139)	(950,393,599)
Segmental results	358,848,868	537,441,995	9,132,993	77,164,414	4,768,261	9,568,508	97,602,149	57,562,038	470,352,273	681,736,955
Depreciation and amortization	(12,609,357)	(12,579,743)	(1,609,047)	(1,845,269)	(287,778)	(446,202)	(2,755,636)	(1,750,179)	(17,261,818)	(16,621,393)
Impairment charge	(57,051,489)	(318,179,322)	(7,280,190)	(70,964,623)	(431,431)	(41,076,805)	-	487,605	(64,763,110)	(429,733,145)
Other Expenses	(298,841,205)	(370,000,532)	(38,134,339)	(50,606,665)	(6,820,320)	(12,916,029)	(65,308,461)	(35,395,141)	(409,104,325)	(468,918,367)
Income tax	-	-	-	-	-	-	-	-	-	-
Profit/(loss) after tax	(9,653,183)	(163,317,601)	(37,890,583)	(46,252,142)	(2,771,268)	(44,870,529)	29,538,051	20,904,323	(20,776,983)	(233,535,949)
Segmental assets	11,120,091,609	12,318,996,758	1,419,005,607	1,807,021,378	253,788,912	436,953,681	2,430,173,818	1,713,902,049	15,223,059,947	16,276,873,866
Segmental liabilities	9,155,523,561	10,490,815,211	1,168,312,252	1,538,853,182	208,952,448	372,108,250	2,000,839,061	1,459,553,082	12,533,627,321	13,861,329,725

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2020. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 According to the CBSL circular No.05 of 2020 company applied only up to 11.5% p.a. interest rate for the moratorium granted contracts and as a result of that Rs 72,920,000.00 & Rs.170,160,000.00 income had foregone for the 3 months ended second quarter 30th September & 6 months ended September 2020 respectively.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2020.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

	30-Sep-20	30-Sep-19
Value of Ordinary Shares (Rs.)	2,431,879,039	1,925,236,265
No. of Ordinary Shares	211,101,155	175,917,629

Share Price During the Period

		For the Quarter Ended	
		30-Sep-20	30-Sep-19
Highest	(Rs)	12.00	15.80
Lowest	(Rs)	8.00	11.90
Closing	(Rs)	11.50	13.60

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 30 September 2020**

	Name	No. of Shares	%
1	Janashakthi PLC Account No 01	196,010,494	92.85
2	First Capital PLC	2,138,299	1.01
3	Mr. Leslie Premal	696,103	0.33
4	Seylan Bank Plc/ S.R. Fernando	510,340	0.24
5	Mr.R.A.Buddhika Kapila	500,000	0.24
6	Mr.K.Sanjaya Samanpriya	383,998	0.18
7	Mr.N.Lalindra Shiran	377,677	0.18
8	Mr.A.Suranga Avantha	337,100	0.16
9	M/S Commercial Credit And Finance Plc	330,000	0.16
10	M/S Merchant Bank of Sri Lanka & Finance PLC 01	275,000	0.13
11	Seylan Bank PLC/ K.L.G.Udayananda	231,365	0.11
12	Mr. R.M.Padmasiri	226,853	0.11
13	DFCC Bank PLC/G.A.C. De Silva	211,000	0.10
14	Mr.Mario Kshani	207,628	0.10
15	Ms.M.Nandika Savithri	204,323	0.10
16	Mr.S.D.Samankumara	200,000	0.09
17	Mr.Don Nimal Francis Galvinus	180,933	0.09
18	Mr.P. Gamage	162,668	0.08
19	Mr.Tusitha Lalin	159,038	0.08
20	Ms.Saraswathi Vasudevan	146,395	0.07
	Others	7,886,941	3.74
	Total	211,101,155	100

Directors' Shareholding as at 30th September 2020

	Name of the Director	No. of Shares	%
1	Mr.K.M.A.T.B. Tittawella - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter	10	-
6	Mr. Sriyan Cooray	-	-
7	Mr.Darshana Joseph Ratnayake	-	-
8	Mr.K.M.M.Jabir	-	-
	Total	20	

CEO's Shareholding as at 30 September 2020

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30 September 2020

Number of Public Shareholders	12,952,282
Public Shareholding Percentage	1,028
Float Adjusted market capitalization (Rs)	6.14%
	149,058,526

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 4th June 2020. Accordingly, upon the expiry of the extension period, Orient Finance PLC is considered non-compliant and is entitled for a grace period of 6 months until 4th December 2020 to comply with the minimum public holding requirement. The Company is entitled for a further period of 3 months, until 4th March 2021, in accordance with the CSE circular 03-04-2020 dated 10th April 2020 extending the timelines for submission of Financial Statements and Enforcement Action.